

IKEA+ More Than Positive

SITUATION & COMPLICATION

Sustainability has been rooted in the values of IKEA since its establishment in 1943. Given the circumstances of climate change, IKEA strives to become climate positive by adopting a circular economy model. While some consumers are unaware of the negative impact of the furniture industry, aware consumers are not empowered to practice sustainability acts.

QUESTION

How can IKEA utilise new and existing circular initiatives to make sustainable choices more accessible for the many customers, while ensuring >30% growth in users within the next 5 years?

ANSWER

IKEA+, an all-in-one Circular Hub platform, that enables customers to extend furniture life, buy and sell reused furniture and engage with other climate fighters.

More than a marketplace

Breaking from the physical hub, the platform preserves core values of IKEA's circular economy, including the Buy-back scheme, together with additional functions like Repaired and Spare Parts Sale. The modified Buy-back scheme introduces a recommendation feature where the system would suggest second-hand products that people purchase after the sale of similar products. The Repaired initiative aims to make second-hand furniture attractive and prolong product life cycles by revamping flawed furniture.

More than positive

With the platform establishment, there will be more transactions in the hub, urging a change of the complex delivery mode. By integrating the Movers' logistics solution into IKEA+, IKEA creates a centralized database for all pending Buy-back and second-hand purchases. Customers no longer need to travel back and forth to IKEA for Buy-back as multiple deliveries and pick-ups are possible in a single route. It allows customers to contribute to sustainability conveniently with no extra effort needed while accelerating IKEA's progress towards Climate Positive.

More than social

By building a community within IKEA+, users are able to socialize with others through a DIY community and compete on the amount of CO₂ saved, which thereby enhance the network effects that will increase the user base on the platform.

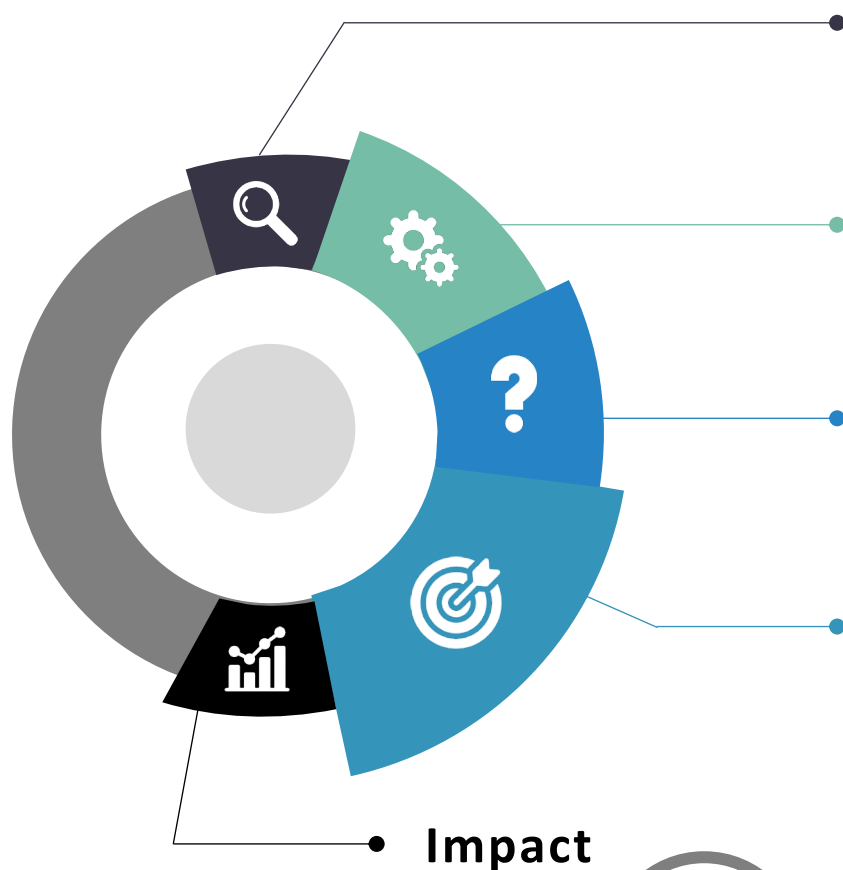
IMPACT

By introducing IKEA+, IKEA will be able to increase its circular user base by 179% from 2021 to 2025, which will enable the firm to recycle 118m products in 2025. Also, the project will bring an expected net present value of 653 million EUR for the 5-year horizon.

IKEA+ More Than Positive



Executive Summary



Situation

Sustainability has been rooted in the values of IKEA since its establishment in 1943. Given the current circumstances of climate change, IKEA strives to become climate positive by adopting a circular economy model.

Complication

While some consumers are unaware of the negative impact of the furniture industry, aware consumers are not empowered to practice sustainability acts.

Question

How can IKEA utilise both new and existing circular initiatives to make sustainable choices more accessible for the many customers, while ensuring at least 30% growth in users within the next five years?

Answer

We propose launching IKEA+, an all-in one Circular Hub platform, that will enable the many customers to extend furniture life, buy and sell reused furniture and engage with other climate fighters.

Impact

3.3%

Sales CAGR
by 2025

179%

Increase in
circular usage

118m

Products
recycled in 2025

653m

EUR NPV in 2025

6.2t

CO2 saved in 2025

The furniture industry accounts for more than 4% of the total waste stream in the EU, while only 10% is recycled every year

Very few pieces of furniture are recycled, reused, or remanufactured ...



Furniture waste accounts for more than 4% of the total municipal solid waste stream in the EU



Only 10% of the furniture trashed every year is recycled



Remanufactured furniture account for less than 0.1% of the total furniture industry



"Our ambition is to be 100% circular by 2030."

Malin Nordin, Head of Circular Development, Inter IKEA Group



Healthy and Sustainable Living



Circular and Climate Positive



Fair and Equal

... but several drivers embrace changing this exact problem



Resource consumption

Resources are being consumed 50% faster than they can be replaced



Consumer behavior

87% say that they are willing to change their behavior to work against the global environmental challenges



Value of circular economy

The circular economy is estimated to be worth more than \$1 trillion globally



Creating a circular economy is necessary for the future of the earth, the future of the furniture industry, and the future of IKEA.



Sources: Furn360 Report on Circular Economy. Case Material. Annual Report on Sustainability 2020.

Denmark is the ideal market for IKEA to test its circular initiatives and expand and improve its current services through digital channels

In Denmark, the population is ready to make a difference for the environment and open for trying innovative initiatives



THE AVERAGE DANISH CONSUMER

- ✓ Idealists wishing to have a positive impact on the environment but not willing to sacrifice either time or money for it
- ✓ Interested in using technology and new innovative solutions
- ✓ Shopping both online and in-store



1.8M Danes

Are members of the IKEA family in 2020



Ranked #4

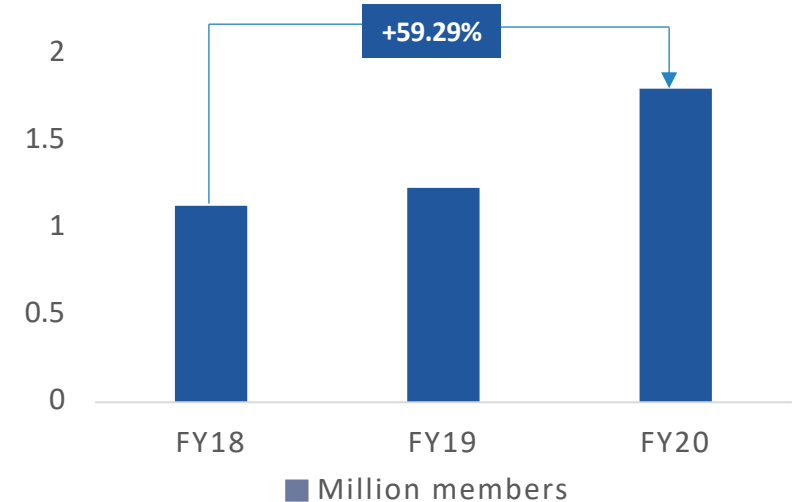
On Cisco's Global Digital Readiness Index



43M Visitors

Were tracked on IKEA.dk in 2020

IKEA Family Members in Denmark from FY18 to FY20

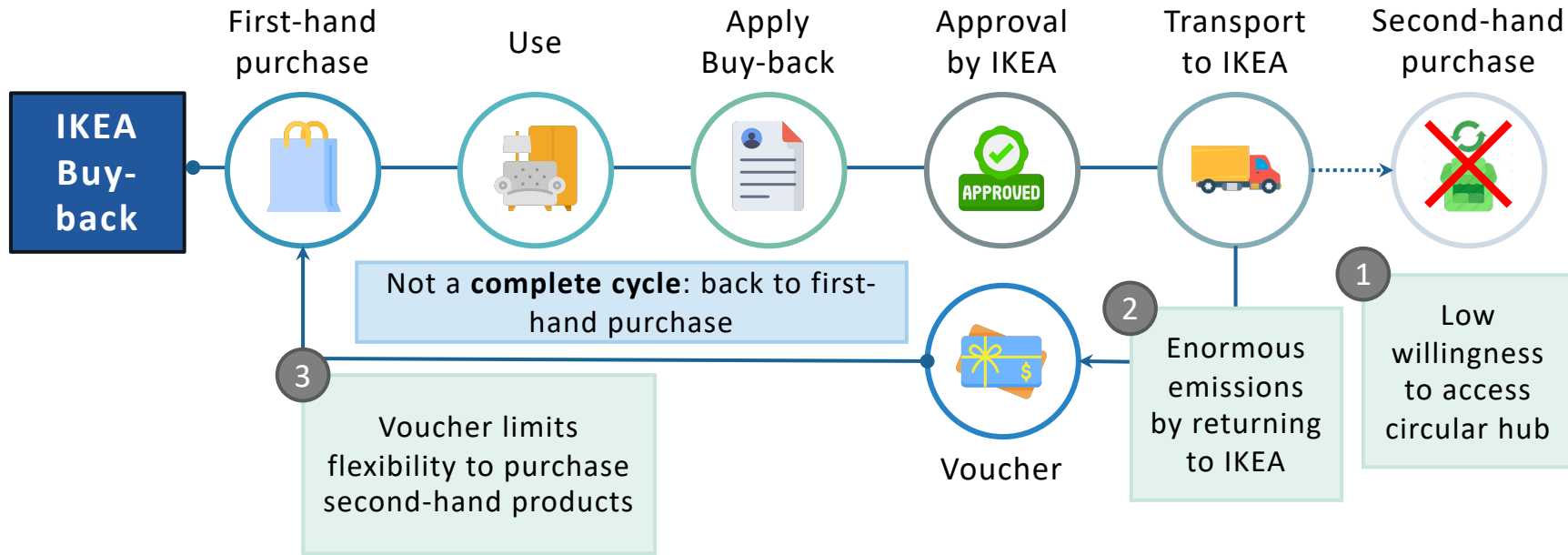


IKEA Family reached 1.8 million members in FY20, which is an increase of 59.29% from FY18, and the loyalty club is expected to continue its growth in Denmark in the following years.

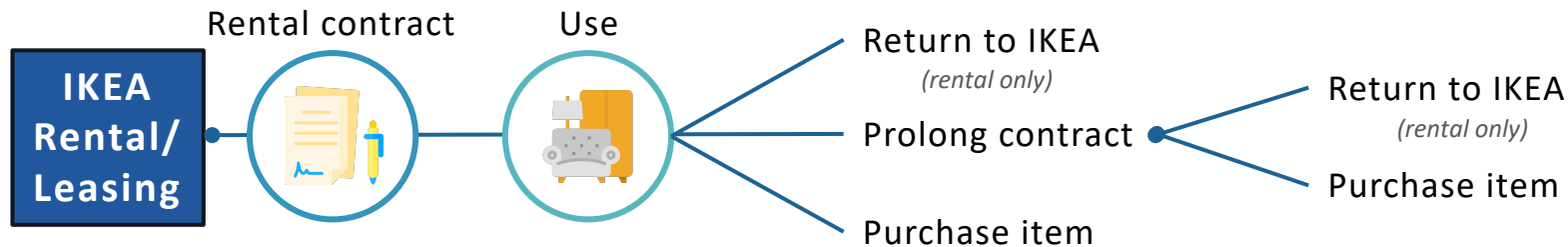
Given the high level of digitalization, the Danish consumers having an over-average proportion of idealists, and the IKEA Family in Denmark growing significantly, we believe that **Denmark is the ideal market** for IKEA to explore new digital solutions that will allow the company to increase the usage of its circular initiatives and to set the stage to scale its circular projects globally

Current Buy-back scheme does not form a complete circle, failing to connect with the second-hand market

Currently, there are a few gaps in the customer journey that discourage the use of IKEA Buy-back



Meanwhile, IKEA Rental/Leasing has a structured business model



Sources: Case Material.

Customers first

- 1 Rather than the initiative contents, **customer** is the most crucial **driving force** of IKEA's circular initiatives

Improvements needed

- 2 The current Buy-back scheme would initiate **infinite open** circles without enclosing it

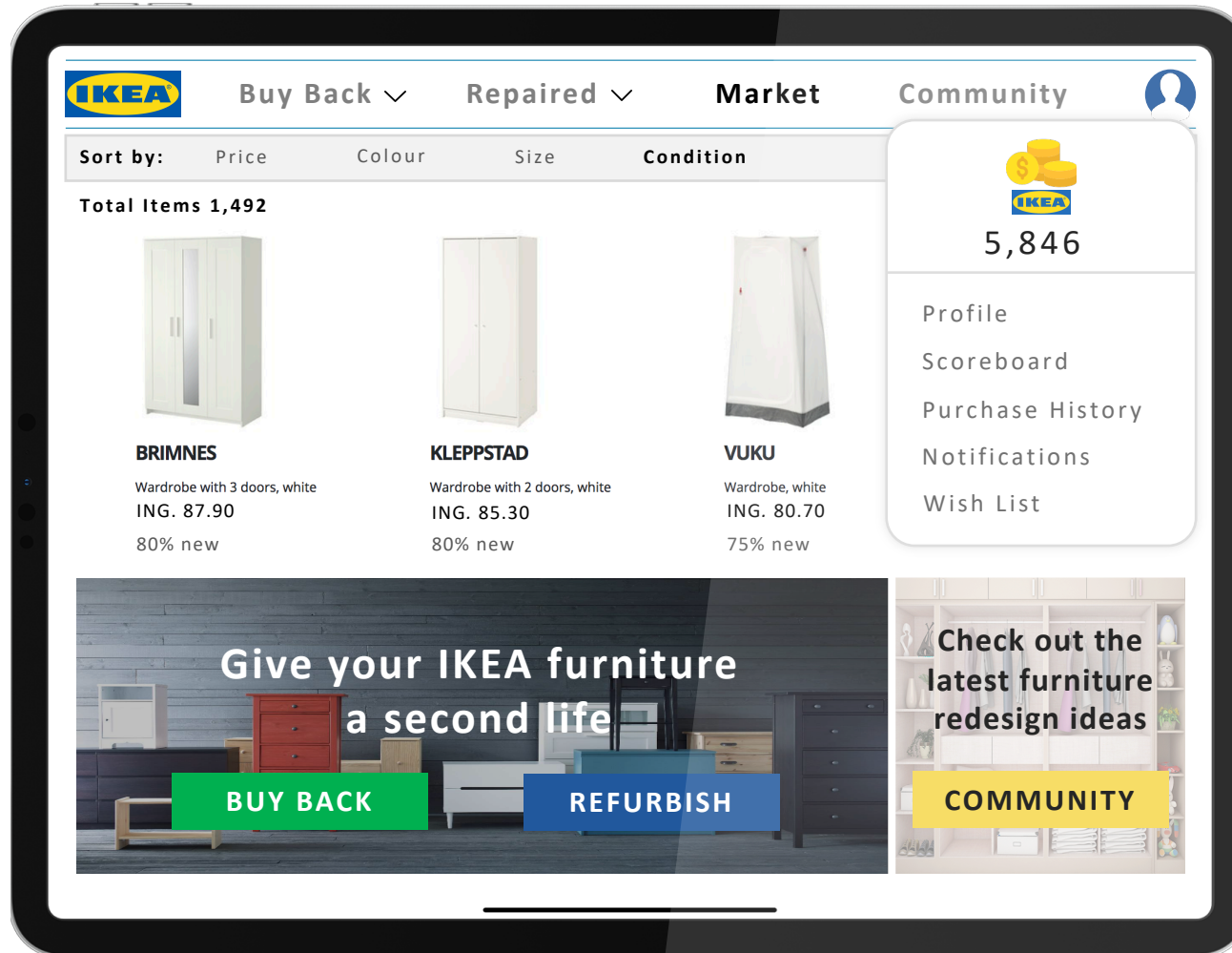
Higher significance

- 3 Apart from IKEA and buyers, **3rd dimension: second-hand market**, is introduced in Buy-back

Focus on modifying the **3 aspects** of IKEA Buy-back scheme

(1) More than a marketplace: *IKEA+*, an all-in-one platform, could encourage customers to browse the online circular hub

IKEA+, a circular hub at your fingertips



Sources: Case Material, IKEA website.



IKEA Buy-Back (BB) Upgrade

1. Exchange for IKEA Currency, ING.
2. Second-hand purchase recommendation



Repaired

Second life: For the planet and people

1. Prolong product life cycle
2. Worker empowerment



Sale of Spare Furniture Parts

1. Refurbishment as new revenue stream
2. DIY modification: Plug & Play



Rental and Leasing

1. Reusing to reduce waste
2. Transformation strategy to gain customer loyalty



IKEA Sustainable Community

1. Social: Ideas sharing for the Plug & Play
2. Gamification

(1 cont.) Utilising both supply and demand initiatives to engage customers in using the online circular hub

IKEA+



INCREASING SUPPLY: Buy-back

Easier approval process and swap recommendation to attract sellers



1 Standardized pictures for verification

- ▶ From offline checking to online, carbon emission from travelling is **minimized**
- ▶ Ease of selling improve attractiveness of the program

May exchange for



RÖNNINGE
Chair, black
ING. 59.90

TOBIAS
Chair, grey/chrome-plated
ING. 59.90

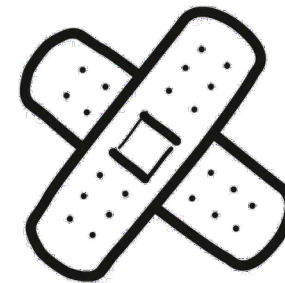
2 Recommendation of similar product

- ▶ System would suggest **second-hand products** that people purchase after the sale of similar products
- ▶ Renovate without waste creation



INCREASING DEMAND: Repaired

Ensure furniture are in fine condition, so consumers are more willing to purchase



Repaired furniture to attract new owner

1 Prolong damaged products' lives

- ▶ Improved conditions encourage consumers to purchase second-hand products
- ▶ Utilize products and prevent **"leakages"** of the circular economy

2 Labour empowerment

- ▶ Provide job opportunities for target groups (e.g. disabled, refugees)
- ▶ Equip them with skills that could benefit their **long-term development**



DISABLED PEOPLE'S ORGANISATIONS DENMARK

Sources: IKEA website, DRC, DPOD.

(2) Adding *IKEA+* to current delivery technologies could make sustainable choices on behalf of customers

4Mn

Annual CO₂ emission
for **customer transport**

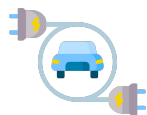
3x

CO₂ are emitted by
petrol cars
compared to EV

11%

Of IKEA's climate
footprint from
transport & delivery

Current Initiatives



Electric vehicle adoption

TWO

Successful tests on **new EV prototype** for last mile delivery

2025

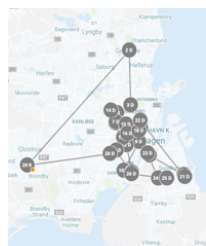
All home deliveries to customers
done by EV / zero-emission means



Delivery route optimization

mover

A minority investment made by
Ingka on the Danish logistic service
provider, **Mover**



Tailored logistics solution:
optimization of last-mile delivery to
reduce environmental footprint

Integration with the Platform



Creates a **centralized database** for
all pending Buy-back and second-
hand purchase



- ✗ Customers travelling **back and forth** IKEA for one Buy-back
- ✓ Multiple deliveries and pickup in a **single route**



- 1 For customers: **conveniently** contribute to **sustainability**
- 2 For customers: No extra effort needed , IKEA helps them choose the most sustainable lifestyle
- 3 For IKEA: speeding up the progress of achieving **climate positive**

Sources: The Guardian, Transport & Environment, IKEA Sustainability report FY20, OreSund Startups, Mover, Ingka.

(3) An unified off + online currency to promote second-hand purchases and enclose the circular economy



THE IKEA CURRENCY, ING.

The world's first sustainable currency that completes the circular economy in the furniture sector

HOW

Ways of earning and spending the currency

- 1 Selling goods in the Buy-back scheme
- 2 **No upper limit** on the amount received
- 3 Exchange rate
1st hand purchase **1:0.75** local currency
2nd hand purchase **1:1** local currency

WHERE

Touchpoints in which the currency is available



Localized currency, conversion when users change locations



Physical stores (including IKEA stores and planning studio)



All products on the platform (e.g. second-hand and lease products)

WHY

Benefits of creating the IKEA currency



Allows consumer staying in IKEA loop & **incentivize repurchase**



Encourages customers to buy via online circular hub



Reflect **true value** of resold product

We propose that IKEA introduce three new features to *IKEA+*

1) A Do-It-Yourself Community, 2) Gamification and 3) Spare Parts

1



Clear overview of different DIY hacks

Ability to post personal DIY ideas

Enabling interaction between users by commenting and liking posts

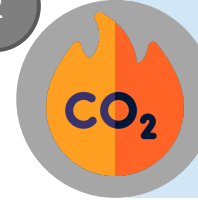
Direct link to products sold on the second-hand market

Share pictures to gain feedback

Data is shared with IKEA to increase knowledge about users

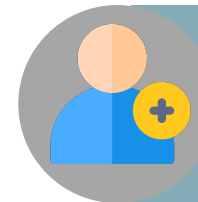
Ability to send DIY hacks found on the platform to friends

2



CARBON SAVED

After purchasing in-store or on the platform, users will be able to monitor how much CO₂ they have saved by buying second-hand rather than first-hand.



INVITE YOUR FRIENDS

For users to engage more on the platform, by inviting a friend who successfully makes a purchase or a sale, the user will gain a small number of IKEA credits to spend.



BEAT YOUR FRIENDS

By enabling users to compare number of credits gained and CO₂ saved, the platform will encourage the user base to use the platform more frequently and engage more with it.

3



Network effects will enable the user base to grow exponentially

Gamification will result in the users increasing their engagement



Spare parts will increase the product life of IKEA furniture

By rolling *IKEA+* out in phases, IKEA ensure an efficient launch in each market building the necessary bonds with the user from the get-go



LEGEND

Primary task



Evaluation



Follow up

2021

2022

2023

2024

2025

Platform Development

Develop platform

Move As-Is products online

Buy-Back Option

Gamification feature, DIY and spare parts sale

Localise the app to account for individual country needs such as language

Integrate with Mover

Expand with Mover or find similar local transportation firm

World Expansion

Pilot in DK

Expand to the rest of Europe

Expand to the remaining markets

Move the Circular Hub onto the platform

Community

Promote the community through the IKEA Family and in store

Develop content to inspire others' DIY projects – incentivise others to share their own projects

1

Reach 10% adoption in DK in 2021

2

30% increase in # of users of existing circular initiatives

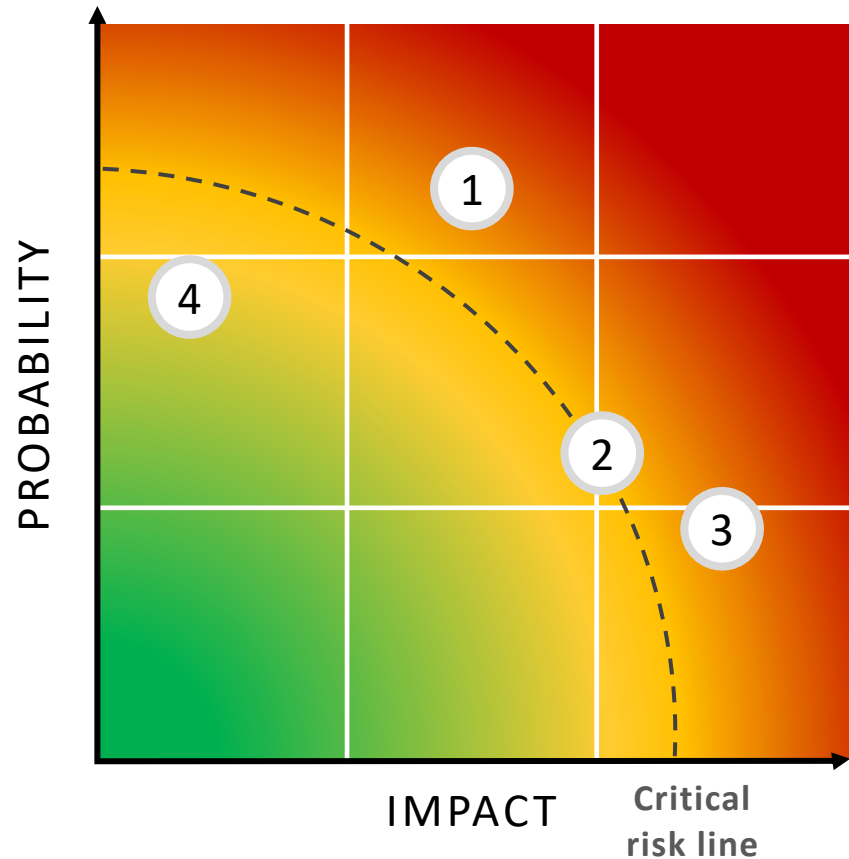
3

Be present in 3 countries by 2022

4

Reach 3bn EUR in sales through *IKEA+*

Leveraging the unique features on *IKEA+*, the associated risks of the platform can be mitigated



RISKS

- 1** Quality of Buy-back items collected is lower than expected
- 2** Not enough users on the platform
- 3** Low conversion rate (high clicks, low purchase)
- 4** Large number of deliveries per day

MITIGATIONS

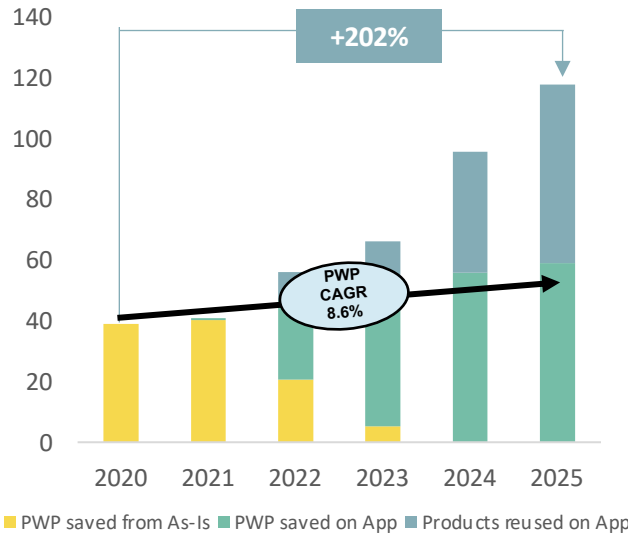
- All photos must be taken directly using the platform to prevent photoshopped pictures
- Promote community: earn extra currencies
 - ▶ When successfully invite a friend, and;
 - ▶ when a friend makes first purchase
- Welcome pack: Small amount of IKEA currency to stimulate purchase
- Aim delivery within 3 days
Generate solution with multiple cars

A small change to an already great idea can have a significant impact on our people and the planet we all share

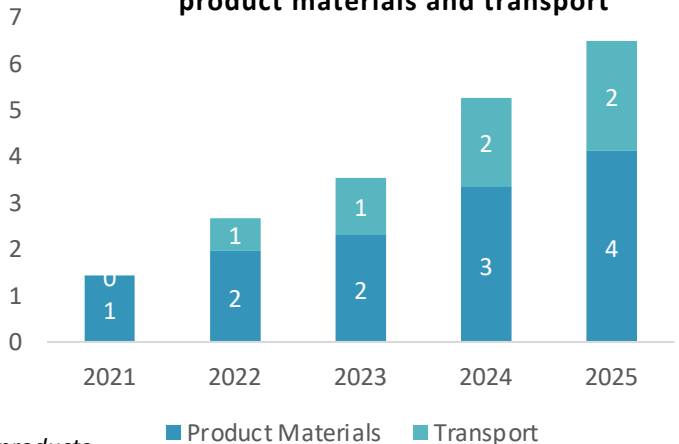


AREAS	COMPONENT	IMPACT Planet People	SDGs
Second-hand hub	Buy-back Upgrade	118 Mn Products recycled through IKEA+ in 2025	12 RESPONSIBLE CONSUMPTION AND PRODUCTION
	Repaired & Sales of Spare Part	Empower lower skilled and vulnerable people through job opportunities	10 REDUCED INEQUALITIES
		4.1 t Product materials saved through recycling in 2025	13 CLIMATE ACTION
Engagement Platform	Save carbon	Build a community of 71 million members fighting against climate change by 2025	11 SUSTAINABLE CITIES AND COMMUNITIES
	Social element		
	DIY community	Creating a sense of unity and a feeling of being part of something greater	
Consumer Convenience	Logistics solution	236 fewer customer trips to IKEA in 2025, lowering 2.4 tonnes CO ₂ emissions	17 PARTNERSHIPS FOR THE GOALS

Million Products Saved From Waste Through Recycling



Tonnes of CO₂ saved purely related to product materials and transport

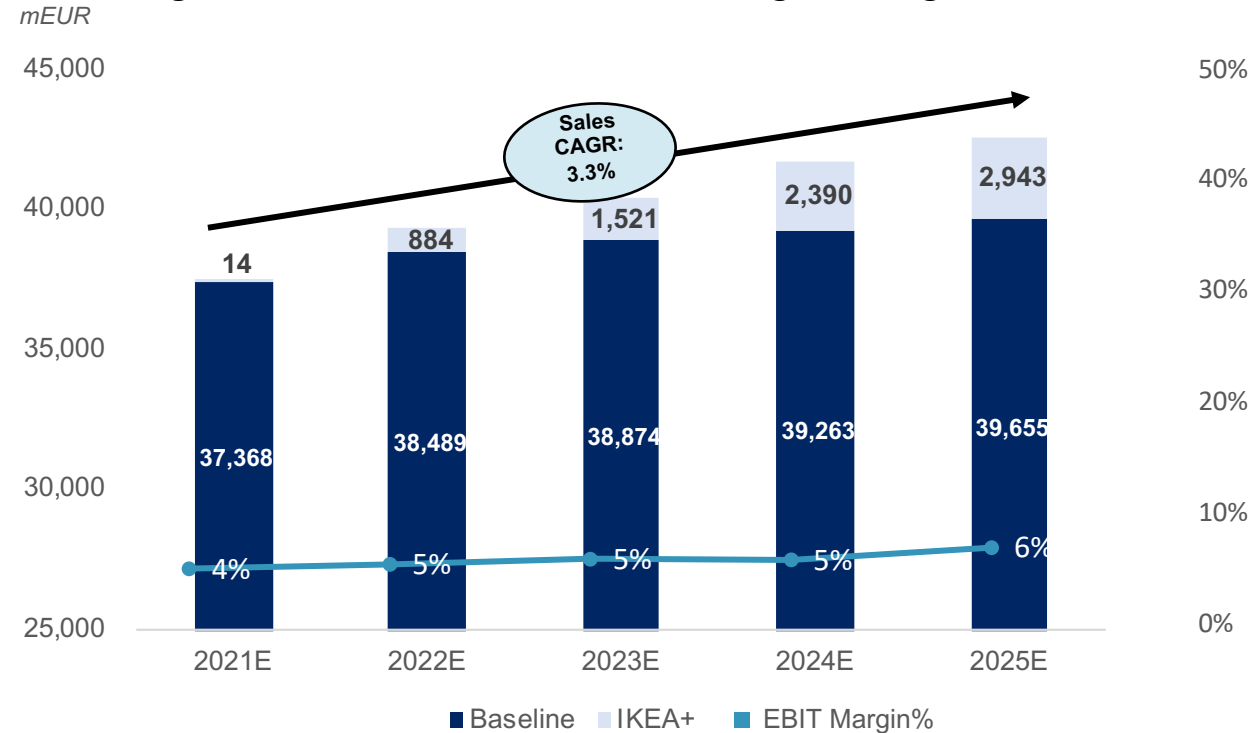


Source: Annual Report 2020, MyClimate, Team Analysis. PWP*: (Products Waste Products) including returned, damaged, discontinued and ex-display products

The *IKEA+* platform will enable IKEA to leverage their community and a circular model while achieving 2.3bn EUR NPV by 2025



Establishing *IKEA+* will enable an increase in higher margin second hand sales



NPV of 653 million EUR for the 5 year time horizon

179% User increase

1.1 years payback time

Key assumptions

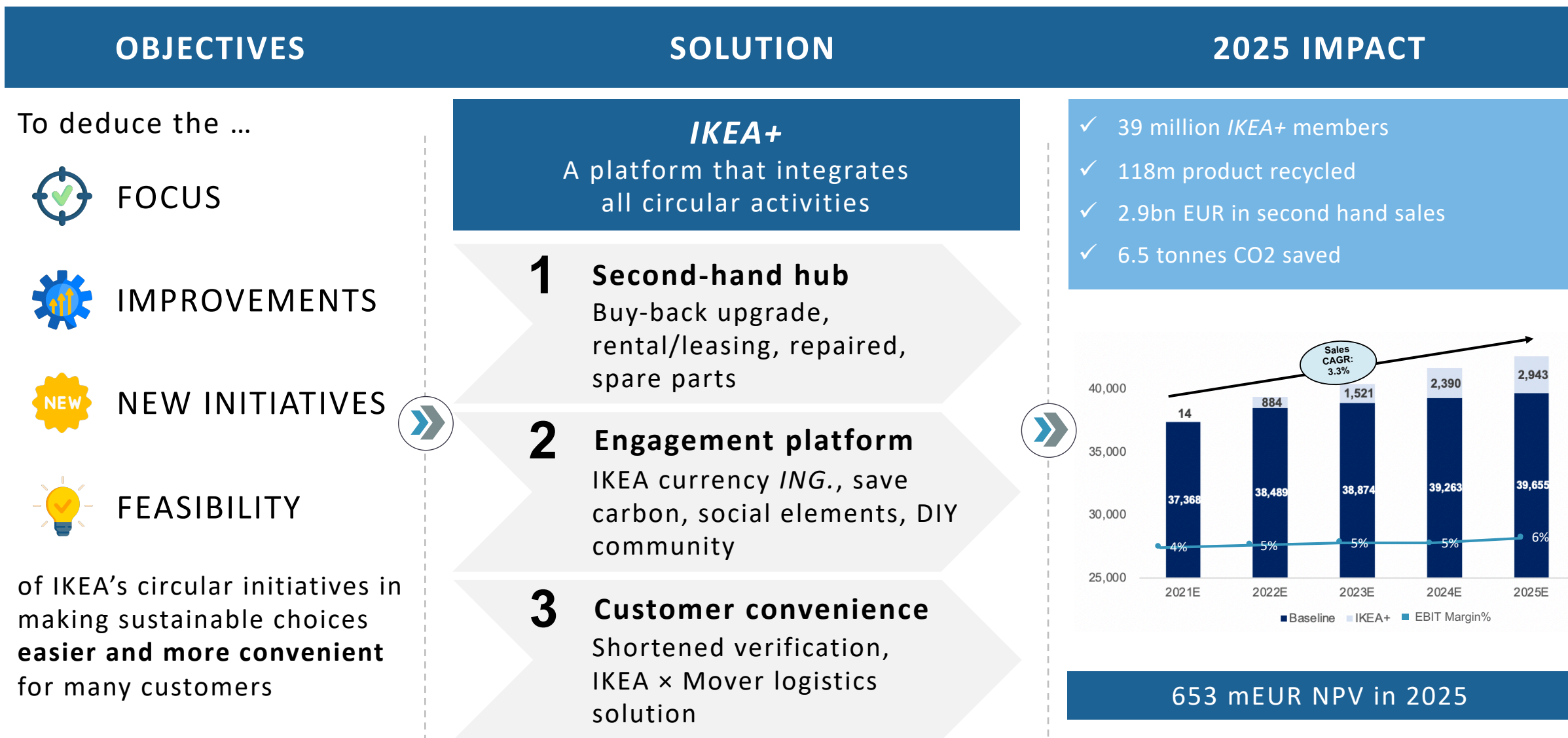
- 19% of the global IKEA Family members have adopted *IKEA+* by 2025
- Average of 3 yearly orders of EUR 25
- Build up to 17% EBIT margin for the initiative due to low procurement costs
- Assuming 50% of second-hand sales would have been regular sales at EUR 40 per order. 3% baseline growth decreased to 1% after including lost regular sales
- 12.5% WACC

Main Costs Drivers

- CAPEX:** Assuming products are bought for 50% of sale price and 15% cleaning/refurbishment costs
- Platform development:** Assuming 14m EUR app development cost and 1m EUR in yearly maintenance

Source: Annual Report, Case Material, Ingka, MLSDev.

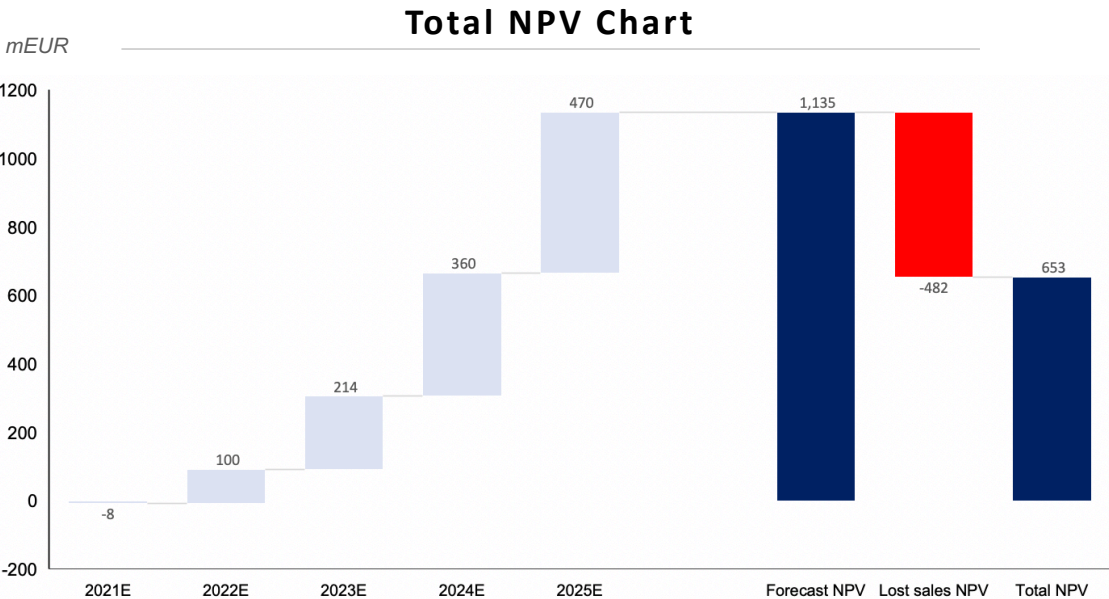
IKEA+ enables a circular business model ensuring long term positive sustainable impact



Appendix: Financials



IKEA+ Financial Breakdown		2021	2022	2023	2024	2025	
IKEA+ Platform members (in m)		0.2	12.6	20.3	34.1	39.2	
IKEA + DK		0.18	0.28	0.48	0.59	0.61	
IKEA DK Members (in m)		1.8	1.9	1.9	2.0	2.0	
Share of DK members on the platform (in %)		10%	15%	25%	30%	30%	
IKEA + EUR (excl. DK)		0.00	12.35	19.80	28.17	30.02	
IKEA Family EUR (in m) excl. DK		115.5	123.5	132.0	140.8	150.1	
Share of EUR members on the platform (in %)		0%	10%	15%	20%	20%	
IKEA + Global (excl. EUR and DK)		0.00	0.00	0.00	5.39	8.61	
IKEA Family excl. EUR (in m)		44.3	47.3	50.5	53.9	57.4	
Share of ROW members on the platform (in %)		0%	0%	0%	10%	15%	
IKEA Family Global (in m)		161.6	172.7	184.4	196.7	209.6	
New IKEA Family members Global (in m)		10.6	11.1	11.7	12.3	12.9	
Avg. No. Yearly Customer Orders		3	2.8	3	2.8	3	
Avg. Order Size (in EUR)		25	25	25	25	25	
Income Statement						19%	
Revenue mEUR		14	884	1,521	2,390	2,943	
Direct Cost mEUR		7	442	760	1,195	1,472	
Gross Profit		7	442	760	1,195	1,472	
Total indirect costs		6	345	532	837	971	
Cost of cleaning and refurbishing		2	133	228	359	442	
SG&A		2	106	152	239	265	
Transport		1	88	137	191	235	
App Maintenance		1	1	1	1	1	
EBITDA		1	97	228	359	500	
EBITDA Margin		5%	11%	15%	15%	17%	
Lost First Hand Orders (in m)		0.3	17.7	30.4	47.8	58.9	
Order size EUR		40	35	35	35	35	
Lost Revenue		11	619	1,064	1,673	2,060	
Direct costs		7	425	730	1,148	1,414	
Lost Gross Profit		3	194	334	525	646	
Indirect costs		2	132	228	358	440	
Lost EBITDA		1	62	106	167	206	
Circular Usage (in m)		2020	2021	2022	2023	2024	2025
Current Quotes in 2020 annualized		4	5	8	12	18	27
Assumption of Quote approval rate		80%	80%	80%	80%	80%	80%
Estimated resold products		2.9	4.3	6.5	9.7	14.6	21.9
Quotes per customers		1.0	1.0	1.0	1.0	1.0	1.0
Customer Usage		2.9	4.3	6.5	9.7	14.6	21.9
Our initiative		0.18	12.63	20.27	34.14	39.25	
Percentage increase							179%



Sensitivity Analysis

IKEA Family Global Adoption in 2025								
WACC	653	13%	15%	17%	19%	21%	23%	25%
	20.0%	594	600	606	612	618	624	631
	17.5%	607	613	619	625	631	638	644
	15.0%	620	626	632	639	645	652	658
	12.5%	633	640	646	653	659	666	673
	10.0%	648	654	661	668	674	681	688
	7.5%	663	670	676	683	690	697	704
	5.0%	679	686	692	699	706	714	721